

***** Task 3 – Sample note of preliminary advice *****

[on law firm's letterhead]

Privileged and confidential

Client-attorney working draft

To: **Mr. Shaddix (Shikari Inc.)**

From: [●]

Date: [●]

Dear Mr. Shaddix

Re.: Ludens Inc. ./ Shikari Inc. – Note of preliminary advice regarding potential data litigation

1. **Foreword**

This note discusses the potential arguments Shikari Inc. ("**Shikari**") may use to resist Ludens Inc.'s ("**Ludens**") claims arising from the data breach occurred on [●] (the "**Data Breach**"). This note relies on the following facts and assumptions:

- (a) As a result of the Data Breach, certain Ludens' data ("**Data**") was stolen. Data includes:
 - (i) data pertaining to Ludens' clients, e.g. client lists, documents outlining Ludens' marketing strategy, sales, turnover and financial data ("**Commercial Know-How**");
 - (ii) documents listing the patents protecting Ludens' diagnostic tools and describing the technology on which Ludens' tools rely (projects and drawings, manufacturing and maintenance manuals, user manuals) ("**Technical Know-How**" and, jointly with the Commercial Know-How, the "**Know-How**"); and
 - (iii) personal data relating to certain patients who were diagnosed using Ludens' diagnostic tools ("**Health Data**");
- (b) On [●] Ludens sent Shikari a warning letter seeking compensation for the damages allegedly suffered as a result of the Data Breach. Ludens alleges as follows:
 - (i) Ludens' Know-How was confidential information giving Ludens an advantage over its competitors; Shikari breached its duty of confidence,

resulting in information becoming public and Ludens losing its competitive advantage (the "**Breach of Confidence Claim**"); and

- (ii) Health Data concern the patients that had been diagnosed and treated with Ludens' tools. Therefore Shikari is liable for the breach of the GDPR obligation to prevent unauthorised third-party's processing of Health Data (the "**Data Protection Claim**").

2. **Executive Summary**

Subject to the follow-up actions and analyses presented in this note, our preliminary analysis outlines the following:

- (a) Shikari may rely on the following arguments to resist the Breach of Confidence Claim:
 - (i) Ludens' Know-How may not qualify as trade secret, because its Know-How has been disclosed or is in the public domain (e.g. because it is the subject of patent files that are available in the patent offices' databases); and, in any event,
 - (ii) Shikari may not be liable vis-à-vis Ludens for a breach of confidentiality, either because Shikari never undertook that obligation by contract, or because Shikari used its outmost diligence in storing Data, so that the Data Breach is not ascribable to any fault on Shikari's end;
- (b) Shikari may rely on the following arguments to resist the Data Protection Claim:
 - (i) If Health Data are anonymised and aggregated data, they will unlikely qualify as "*personal data*" for the purposes of GDPR, so that no unlawful processing of personal data occurred as a result of the Data Breach; and, in any event,
 - (ii) If Health Data are personal data, Ludens is likely to qualify as the data controller that has the duty to ensure that Health Data are protected in such a way as to prevent unauthorised processing from third parties. If Shikari is the data processor, it must have acted in compliance with the instructions provided by Ludens, so that Ludens may be liable for having failed to identify adequate security measures.
- (c) In any event, the duty to demonstrate damages and the causal connection weighs on the damaged party (i.e. Ludens).

3. **Potential defensive strategy for Shikari**

3.1 **Ludens' Breach of Confidence Claim**

- (a) Summary of Ludens' claim: We understand that Ludens' Breach of Confidence Claim relies on the following factual and legal arguments:
 - (i) Ludens' Know-How qualifies as trade secret, which has economic value for Ludens as long as that Know-How is kept secret;

- (ii) The service agreement between Shikari, as provider of colocation services, and Ludens, as client, imposes upon Shikari (either expressly or implicitly) (1) a duty to prevent unauthorised third-party's access to Ludens' Data and (2) a confidentiality duty; and
 - (iii) The Data Breach occurred as a result of Shikari having breached its contractual duties.
- (b) Shikari's potential defensive arguments: Subject to the actions identified in paragraph (c) below, our preliminary analysis outlined that Shikari may use the following defensive arguments to resist the Breach of Confidence Claim:
 - (i) Ludens' Know-How may not qualify as trade secret:
 - (A) It is Ludens' burden to prove that Know-How was confidential and that Ludens implemented effective security measures to keep Know-How confidential;
 - (B) Technical Know-How does not qualify as trade secret if it was included in patent files. Patent files are published by the competent patent offices (after an initial non-disclosure period);
 - (C) Similarly, financial and accounting data relating to clients does not qualify as trade secret if they are public (e.g. this kind of data is usually disclosed in the company's financial statements);
 - (ii) Assuming that Ludens' Know-How qualifies as trade secret, contractual review may outline that Shikari had no duty to preserve Ludens' Know-How from unauthorised access or to keep it confidential. For example, the colocation service agreement may only provide that Shikari's duty is to store data on behalf of Ludens, without Shikari accepting liability for any theft of loss;
 - (iii) Assuming that Shikari had a duty to protect data from theft or loss, Shikari would not be liable vis-à-vis Ludens, should Shikari demonstrate that it performed its obligation with the required diligence and that the Data Breach is not ascribable to any Shikari's fault. The certifications obtained by Shikari may bolster Shikari's position; and
 - (iv) Assuming that Shikari breached its duty of diligence, Ludens would still need to demonstrate that it suffered damages as a result of the Data Breach, e.g. if Ludens' Commercial Know-How does not have economic value (e.g. because it is "*basic*" know-how for someone operating in the same business), Ludens may not claim damages; or, if Ludens' files were encrypted by means of advance encryption technologies, it should not be given for granted that these files are readable or valuable to the unlawful acquirer.
- (c) Next steps: We suggest taking the following actions in order to further develop Shikari's defensive strategy:

- (i) Shikari to investigate the Data Breach and assess the reasons therefor and identify any faults ascribable to the Shikari team;
- (ii) Our firm to analyse the colocation services agreement and any other agreements between Shikari and Ludens with the aim to assess the contractual framework of Shikari's obligations and liabilities vis-à-vis Ludens;
- (iii) If Shikari has knowledge of the Data stored on its servers on behalf of Ludens, Shikari to provide a report detailing type of Data, type of files, security measures adopted by Ludens (e.g. passwords, encryption, *etc.*); and
- (iv) Our firm to conduct searches on publicly available databases (e.g. IP databases) aimed at identifying if certain Data were already in the public domain in advance of the Data Breach.

3.2 Ludens' Data Protection Claim

- (a) Summary of Ludens' claim: We understand that Ludens' Data Protection Claim relies on the following factual and legal arguments:¹
 - (i) Health Data Shikari stores on behalf of Ludens qualify as "*personal data*" within the meaning of Art. 4 GDPR, therefore they are subject to the boundaries of the GDPR; and
 - (ii) Shikari is liable for failing to ensure "*appropriate technical and organisational measures against unauthorised or unlawful processing of personal data and against accidental loss or destruction*" (Art. 5(1)(f) GDPR).
- (b) Shikari's potential defensive arguments: Subject to the actions identified in paragraph (c) below, our preliminary analysis outlined that Shikari may use the following defensive arguments to resist the Data Protection Claim:
 - (i) We understand that Ludens processes Health Data by anonymising and aggregating them and then selling the dataset of anonymous data to hospitals and researchers. On this basis, Shikari may argue that Health Data are not "*personal data*," so that GDPR does not apply;
 - (ii) Assuming that Health Data qualify as "*personal data*" within the meaning of GDPR, there may be arguments to conclude that Shikari is not responsible for a breach (if any) of the obligations set out in Art. 5(1)(f) GDPR, in that:
 - (A) Ludens is likely to qualify as the "*data controller*," because processing of Health Data (i.e. collection, analysis and storage) aims at supporting Ludens' business (i.e. sale of datasets

¹ To the extent that with its warning letter Ludens meant to claim that the Breach of Confidence Claim concerned also Ludens' Health Data, similar arguments to those presented in paragraph 3.1 above would reasonably apply.

including anonymised health data to Ludens' clients such as hospitals and research entities);

- (B) In light of the above, Shikari (1) is unlikely to qualify as data controller and (2) may only qualify as data processor. In this case, Shikari could only process Health Data in accordance with the instructions provided by Ludens (Art. 28 GDPR). These instructions usually include the security measures the data processor must implement. Therefore, if there was a gap in the security measures, this gap may be ascribable to Ludens, in its capacity as the data controller; and, in any event,
 - (C) Assuming that Shikari is liable for a breach of the GDPR; it is the data subject's (i.e. the individual patient) duty to demonstrate that he/she suffered damages as a result of the unlawful processing. Therefore, Ludens, as data processor, may be able to substantiate its damages claim only following the outcome of an investigation from the competent data protection authority and of litigation with the data subjects.
- (c) Next steps: We suggest taking the following actions in order to further develop Shikari's defensive strategy:
 - (i) Our firm to review the data processing agreement pursuant to Art. 28 GDPR, whereby Ludens appointed Shikari as data processor;
 - (ii) Shikari to provide any available information on Health Data and our firm to assess whether Health Data qualify as "*personal data*."